No. 18-0918

IN THE

SUPREME COURT OF THE UNITED STATES

OCTOBER TERM, 2018

IN RE BACKSTREETS PLOWING, INC.,
Debtor.

VIN SANT,
Petitioner,

V.

WEINBERG,
Respondent.

On Writ of Certiorari to the
United States Court of Appeals
for the Thirteenth Circuit

Brief for Respondent

Team R. 38
Counsel for Respondent

QUESTIONS PRESENTED

I. Under 11 U.S.C. § 362(a)(3), does a secured creditor violate the automatic stay through mere retention of property when that property was lawfully repossessed prepetition and the status qou upon the filing date is maintained?

II. Under 11 U.S.C. § 503(b), may a bankruptcy court award a creditor an administrative expense after the creditor makes a substantial contribution to the bankruptcy estate in a chapter 7 proceeding?

TABLE OF CONTENTS

QUESTIONS PRESENTED i

TABLE OF CONTENTS ii

TABLE OF AUTHORITIES iv

OPINIONS BELOW ix

STATEMENT OF JURISDICTION ix

STATUTORY PROVISIONS ix

STATEMENT OF THE CASE 1

SUMMARY OF ARGUMENT 3

ARGUMENT 5

I. Section 362(a)(3) is violated only by an affirmative post-petition act. 5

A. Section 362(a)(3)'s plain meaning and grammatical structure exemplify that only an affirmative post-petition act violates the automatic stay. 7

B. Respondent's retention of the property complied with the purpose of the automatic stay. 10

C. The majority's interpretation incorrectly focuses on "exercise control." 11

D. Even if this Court focuses on "exercise control," Respondent did not violate § 362(a)(3) 12

II. Alternatively, if this Court finds that mere passive retention is an "act . . . to exercise control," Respondent did not violate § 362(a)(3) because neither Congressional intent nor the Bankruptcy Code require turnover without adequate protection. 14

A. Analysis of each relevant Bankruptcy Code provision, namely §§ 542(a) and 363(e), exemplifies that § 362(a)(3) is not violated by a creditor's passive retention of property when he lawfully repossessed the property prepetition. 14

B. The majority approach erroneously concludes that § 542(a) is self-executing. 15

C. The minority's interpretation of § 542(a) does not burden the debtor, and provides the more practical, as well as judicially efficient, approach. 18

III. In a chapter 7 proceeding, a creditor can receive an administrative expense under § 503(b) if the creditor makes a substantial contribution to the estate. 22

A. The text of § 503(b) mandates a non-limiting interpretation that permits a chapter 7 creditor to receive an administrative expense under § 503(b)(3)(D) in making a substantial contribution to the estate. 24

B. The statutory structure of § 503(b) does not foreclose chapter 7 creditors from receiving an administrative expense under § 503(b)(3)(D) in making a substantial contribution to the estate. 27

C. The interpretation canon *expressio unius est exclusio alterius* is not applicable when interpreting § 503(b). 31

D. Prohibiting creditors from receiving an administrative expense for a substantial contribution in chapter 7 proceedings will have a chilling effect on creditor participation. 32

CONCLUSION 35

APPENDIX A I

APPENDIX B II

APPENDIX C III

APPENDIX D V

APPENDIX E VIII

APPENDIX F XIII

APPENDIX G XV

APPENDIX H XVI

APPENDIX I XVIII

APPENDIX J XIX

APPENDIX K XXI

APPENDIX L XXIII

TABLE OF AUTHORITIES

CASES

UNITED STATES SUPREME COURT

Am. Sur. Co. of New York v. Marotta, 287 U.S. 513 (1933).....25

Caminetti v. United States, 242 U.S. 470 (1917).....24

Chevron U.S.A. Inc. v. Echazabal, 536 U.S. 73 (2002).....31

Citizens Bank of Md. v. Strumpf, 516 U.S. 16 (1995).....17–18, 20

Connecticut Nat. Bank v. Germain, 503 U.S. 249 (1992) 8, 24

Cohen v. de la Cruz, 523 U.S. 213 (1998).....13

Corley v. U.S., 556 U.S. 303 (2009) 27

Crandon v. United States, 494 U.S. 152 (1990) 14

Czyzewski v. Jevic Holding Corp., 137 S. Ct. 973 (2017) 13

Dewsnup v. Timm, 502 U.S. 410 (1992).....12, 13

Fed. Land Bank of St. Paul v. Bismarck Lumber Co., 314 U.S. 95 (1941) 25, 31

Griffin v. Oceanic Contractors, Inc., 458 U.S. 564 (1982) 17, 26

Hall v. United States, 566 U.S. 506 (2012) 17

Hamilton v. Lanning, 560 U.S. 505 (2010).....7

Hartford Underwriters Ins. Co. v. Union Planters Bank, N.A., 530 U.S. 1 (2000).....24

Hibbs v. Winn, 542 U.S. 88 (2004).....27

Kelly v. Robinson, 479 U.S. 36 (1986) 14, 17

Law v. Siegel, 571 U.S. 415 (2014) 25

Marrama v. Citizens Bank of Massachusetts, 549 U.S. 365 (2007) 25

Morales v. Trans World Airlines, Inc., 504 U.S. 374 (1992).....29

Morton v. Mancari, 417 U.S. 535 (1974) 30

RadLAX Gateway Hotel, LLC v. Amalgamated Bank, 566 U.S. 639 (2012).....29–30

Rake v. Wade, 508 U.S. 464 (1993).....27

Ransom v. FIA Card Servs., N.A., 562 U.S. 61 (2011).....9, 11

United States v. Ron Pair Enterprises, Inc., 489 U.S. 235 (1989) ..... *passim*

United States v. New York Telephone Co., 434 U.S. 159 (1977).....31

United States v. Vonn, 535 U.S. 55 (2002) 31

United States v. Whiting Pools, Inc., 462 U.S. 198 (1983).....6, 15–17

UNITED STATES COURTS OF APPEALS

City of White Plains v. A & S Galleria Real Estate, Inc. (In re Federated Dep't Stores, Inc.), 270 F.3d 994 (6th Cir. 2001) 23

FB Acquisition Prop. I, LLC v. Gentry (In re Gentry), 807 F.3d 1222 (10th Cir. 2015).....5

Gharib v. Casey (In re Kenny G Enterprises, LLC), 692 F. App'x 950 (9th Cir. 2017).....16

Haskins v. United States (In re Lister), 846 F.2d 55 (10th Cir. 1988).....22

In re United Educ. & Software, No. BAP CC-05-1067-MAMEP, 2005 WL 6960237 (B.A.P. 9th Cir. Oct. 7, 2005) 31

Janvey v. Romero, 883 F.3d 406 (4th Cir. 2018).....26

Lebron v. Mechem Fin., Inc., 27 F.3d 937 (3d. Cir. 1994).....23

Mediofactoring v. McDermott (In re Connolly N. Am., LLC), 802 F.3d 810 (6th Cir. 2015)..... *passim*

United States v. Inslaw, Inc., 932 F.2d 1467 (D.C. Cir. 1991)..... *passim*

United States v. Ledlin (In re Mark Anthony Const., Inc., 886 F.2d 1101 (9th Cir. 1989).....24, 31–32

Tidewater Fin. Co. v. Moffet (In re Moffett), 356 F.3d 518 (4th Cir. 2004).....20

TranSouth Fin. Corp. v. Sharon (In re Sharon), 234 B.R. 676 (B.A.P. 6th Cir. 1999).....21

WD Equip., LLC v. Cowen (In re Cowen), 849 F.3d 943 (10th Cir. 2017) ..... *passim*

UNITED STATES DISTRICT COURTS

Barringer v. Ease Leasing (*In re Barringer)*, 244 B.R. 402 (Bankr. E.D. Mich. 1999) 9, 18–19

Deiss v. Southwest Recovery (In re Deiss), 166 B.R. 92 (Bankr. S.D. Tex. 1994) 20

Froman v. Fein (*In re Froman)*, 566 B.R. 641 (S.D.N.Y. 2017) 6

Gouveia v. Internal Revenue Serv. (In re Quality Health Care), 215 B.R. 543 (Bankr. N.D. Ind. 1997) 10

In re Bernstein, 252 B.R. 846 (Bankr. D.D.C. 2000) 10, 16–18

In re Denby-Peterson, 576 B.R. 66 (Bankr. D.N.J. 2017).....6–7, 13–14, 20–21

In re Engler, 500 B.R. 163 (Bankr. M.D. Fla. 2013).....23

In re Hall, 502 B.R. 650 (Bankr. D.D.C. 2014)..... *passim*

In re Health Trio, Inc., 584 B.R. 342 (Bankr. D. Colo. 2018).....23, 27–28, 31

In re Integrity Supply, Inc., 417 B.R. 514 (Bankr. S.D. Ohio 2009) 34

In re Javed, 592 B.R. 615 (Bankr. D. Md. 2018) 28

In re Maust Transp., Inc., 589 B.R. 887 (Bankr. W.D. Wash. 2018).....23, 28, 31, 33–34

In re Maqsoudi, 566 B.R. 40 (Bankr. C.D. Cal. 2017).....29, 31

In re Richardson, 135 B.R. 256 (Bankr. E.D. Tex. 1992) 5–6

In re S & Y Enterprises, LLC, 480 B.R. 452 (Bankr. E.D.N.Y. 2012) 23

In re Villa Luisa, LLC, 354 B.R. 345 (Bankr. S.D.N.Y. 2006) 23

In re Young, 193 B.R. 620 (Bankr. D.D.C. 1996) ..... *passim*

In re Zedda, 169 B.R. 605 (Bankr. E.D. La. 1994).....34

Kanasky v. Purbeck (In re R. Purbeck & Assocs.), 12 B.R. 406 (Bankr. D. Conn. 1981) 13

Massey v. Chrysler Fin. Corp. (*In re Massey)*, 210 B.R. 693 (Bankr. D. Md. 1997) 11, 20

Pardo v. Nylan Health Plans, Inc., (In re APF Co.), 274 B.R. 408 (Bankr. D. Del. 2001) 8, 10

STATUTORY PROVISIONS

11 U.S.C. § 102 (2018) 24, 26, 32

11 U.S.C. § 326 (2018) 33

11 U.S.C. § 362 (2018) ..... *passim*

11 U.S.C. § 363 (2018) ..... *passim*

11 U.S.C. § 503 (2018) ..... *passim*

11 U.S.C. § 541 (2018) 6

11 U.S.C. § 542 (2018) ..... *passim*

11 U.S.C. § 704 (2018) 32

11 U.S.C. § 707 (2018) 26

11 U.S.C. § 1129 (2018) 29–30

11 U.S.C. § 1307 (2018) 25

42 U.S.C. § 12113 (2018) 31

OTHER AUTHORITIES

Anne Zoltani & Hon. Janice Miller Karlin, *Examining S 362(a)(3): When "Stay" Means Stay*, Am. Bankr. Inst. J., May 2017) 11, 21

BLACK'S LAW DICTIONARY (10th ed. 2014) 7

Hon. Steven Rhodes, *The Fiduciary and Institutional Obligations of a Chapter 7 Bankruptcy Trustee*, 80 Am. Bankr. L.J. 147 (2006) 32–33

Jack Ayer, *Bankruptcy Overview: Issues, law and Policy* (5th ed. 2006) 14

John C. Chobot, *Some Bankruptcy Stay Metes and Bounds*, 99 Com. L.J. 301 (1994) 10

John Silas Hopkins, III, *Effective Review of Compensation in Large Bankruptcy Cases*, 88 Am. Bankr. L.J. 127 (2014) 33

Linda E. Coco, *Section 503(b) of the Bankruptcy Code Should be Construed to Authorize Substantial Contribution Awards to Creditors in Chapter 7 Cases*, 26 Norton J. of Bankr. L. & Prac., Aug. 2017. 26–27

Ralph Brubaker, *Turnover, Adequate Protection, and the Automatic Stay (Part II): Who is "Exercising Control" Over What?,* 33 Bankr. L. Letter 9, Sept. 2013 .....10–12, 16, 19

OPINIONS BELOW

In an unreported opinion, the Bankruptcy Court for the District of Moot found Respondent, a secured creditor of the debtor, did not violate the automatic stay under § 362(a)(3) by passively retaining the debtor's collateral. R. at 6. In a second unreported opinion, the bankruptcy court further found Respondent was entitled to an administrative expense under § 503(b) for making a substantial contribution to the estate. R. at 8. Petitioner appealed both decisions, and in a consolidated appeal, the Bankruptcy Appellate Panel for the Thirteenth Circuit affirmed. R. at 3. The United States Court of Appeals for the Thirteenth Circuit also affirmed; its opinion is reproduced as the record in this appeal. R. 3, 21.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waved pursuant to Competition Rule VIII.

STATUTORY PROVISIONS

The relevant statutory provisions involved in the case are listed below and are reproduced in Appendices A through L.

11 U.S.C. § 102 (2018).

11 U.S.C. § 326 (2018).

11 U.S.C. § 362 (2018).

11 U.S.C. § 363 (2018).

11 U.S.C. § 503 (2018).

11 U.S.C. § 541 (2018).

11 U.S.C. § 542 (2018).

11 U.S.C. § 704 (2018).

11 U.S.C. § 707 (2018).

11 U.S.C. § 1129 (2018).

11 U.S.C. § 1307 (2018).

42 U.S.C. § 12113 (2018).

STATEMENT OF THE CASE

In the spring of 2015, the sole shareholder of Backstreets Plowing Inc., Chris Clemons, approached Milton Weinberg, the creditor and Respondent, seeking a $450,000 loan for the seasonal snow plow business. R. at 3–4. Weinberg provided the loan so Backstreets' could purchase two new trucks and compete for a renewable plowing contract with the City of Badlands. *Id.* The loan was secured by a first priority lien in the trucks, and Clemons also personally guaranteed the loan. *Id.* Weinberg agreed to delay loan payments until December 2015 so Backstreets could begin generating revenue from the trucks. *Id.*

Backstreets purchased the trucks in August 2015 and subsequently submitted its bid for the plowing contract along with its local competitors, Tenth Avenue Freeze, Inc., and Stone Pony Plowing, LLC. *Id.* The City accepted Backstreets' bid despite the city council's concerns over its feasibility due to its minimal profit margins. *Id.*

The winter of 2015-2016 had limited snowfall, which kept plowing costs low and enabled Backstreets to make a profit off of the contract's flat rate payment, notwithstanding its narrow profit margins. R. at 4–5. Despite generating a profit, Clemons did not make any loan payments to Weinberg due to a trivial dispute between the two over college football. *Id.* Subsequently, Weinberg contacted Clemons in February 2016, but his calls went unanswered. R. at 5.

Weinberg filed suit in April 2016 in the State of Moot Circuit Court on the loan and Clemons' personal guarantee. *Id.* In October 2016, Weinberg obtained a default judgment against Backstreets and Clemons, joint and severally, for $450,000.00 plus interest and fees. *Id.*

The following winter of 2016-2017 provided large amounts of snowfall, which increased Backstreets' costs and resulted in substantial losses due to the contract's low profit margins. *Id.* In January 2017, Weinberg paid a repossession company to execute his judgment lien on the

trucks, which the company retrieved peacefully. R. at 6. The trucks currently remain in a warehouse owned by Weinberg. *Id.* Backstreets filed chapter 11 bankruptcy on February, 4, 2017, as a result of its low profit margins and refusal to make its loan payments. *Id.*

Subsequently, the Debtor's attorney demanded return of the trucks. *Id.* In order to protect his interest, Weinberg did not comply and awaited a turnover action to demand adequate protection. *Id.* However, instead of commencing a turnover action, the debtor chose to file a motion for a violation of the automatic stay under § 362(a)(3). *Id.* The Bankruptcy Court for the District of Moot held that Weinberg did not violate the automatic stay because mere retention of property lawfully repossessed prepetition does not violate § 362(a)(3). *Id.*

After filing an appeal in March 2017, the Debtor soon converted the case to chapter 7 and Steven Vin Sant, Petitioner, was appointed as the chapter 7 Trustee. R. at 6–7. Weinberg then hired a law firm to collect on the judgment related to Clemons' personal guarantee. R. at 7. A creditor's examination revealed that Backstreets had transferred $100,000 in cash to Clemons' daughter shortly after Weinberg filed suit. *Id.* Weinberg voluntarily provided the Trustee with sufficient documentation and testimony to establish that the transfers were avoidable as fraudulent transfers. *Id.* The Trustee filed a complaint against Clemons' daughter under §§ 548 and 550 to recover the funds, and the Trustee quickly reached a settlement for $75,000. *Id.*

Weinberg incurred $25,000 in legal fees investigating the transfers, and after the bankruptcy court approved the settlement, he filed a motion seeking allowance of a substantial contribution administrative expense pursuant to § 503(b). *Id.* The Trustee acknowledged that Weinberg made a substantial contribution to the estate but opposed the motion. R. at 7–8. The bankruptcy court approved Weinberg's motion and granted him an allowed administrative

expense of $25,000. R. at 8. The Trustee appealed the grant of administrative expenses and also appealed the bankruptcy court's opinion that Weinberg did not violate the automatic stay. *Id.*

The Bankruptcy Appellate Panel for the Thirteenth Circuit affirmed the bankruptcy court. *Id.* Subsequently, the United States Court of Appeals for the Thirteenth Circuit affirmed the Panel and held that: (1) § 362(a)(3) does not prohibit a secured creditor from passively retaining estate property that was lawfully repossessed prepetition and (2) substantial contribution administrative expenses are permitted in chapter 7. *See* R. at 16, 21. This appeal follows.

SUMMARY OF ARGUMENT

This Court should affirm the decisions below in order to uphold its statutory interpretation precedent and the two overarching goals of the Bankruptcy Code: to provide debtors a fresh start and to provide equal treatment to creditors in terms of repaying the debt. These two overarching goals cannot be sustained unless each relevant Code provision is given effect. To do otherwise renders the statutory text and Congressional intent meaningless.

In the first issue, passive retention of property that was lawfully repossessed prepetition does not violate § 362(a)(3). Under this Court's precedent, an analysis of the statutory scheme begins with the text. Here, an analysis of the text reveals that a violation of § 362(a)(3) requires an affirmative post-petition act, which is not satisfied by mere retention of property. By retaining property that was lawfully obtained prepetition, a creditor maintains the status qou upon the debtor's filing date and thus, upholds the Congressional intent of the automatic stay. Maintaining the status qou is what separates a creditor who lawfully repossesses property prepetition, such as Respondent, from a creditor who dismembers the estate by seizing property post-petition. This distinction is overlooked by the majority approach. Courts adopting this approach incorrectly focus their statutory analysis on "exercise control" instead of an "act . . . to

exercise control" over property of the estate, and thus, fail to give effect to each word within the statute, in violation of this Court's precedent.

Alternatively, even if this Court finds that passive retention of property constitutes an "act . . . to exercise control," Respondent did not violate § 362(a)(3). No violation occurred because a holistic analysis of the Bankruptcy Code, in accordance with this Court's precedent, reveals that no Code provision or Congressional intent require turnover without adequate protection. In order to hold that § 362(a)(3) is violated before any adequate protection is provided, a court must ignore the explicit limitations within § 542(a) and consequently § 363. In contrast, by giving effect to each relevant Code provision, an analysis of § 362(a)(3) requires an analysis of turnover under § 542(a) and adequate protection under § 363. This approach, as shown by the minority, reveals that § 362(a)(3) does not mandate turnover before adequate protection is provided and serves the interests of efficiency and due process.

Turning to the second issue, in a chapter 7 proceeding, a creditor may receive an administrative expense under § 503(b) in making a substantial contribution to the estate. Because administrative expenses reduce the amount of money that can be dispersed to creditors, such expenses are narrowly construed. Although it is often difficult to prove a creditor made a substantial contribution, here, the Trustee agrees Respondent met this burden.

Notably, § 503(b) provides nine examples of administrative expenses, and the examples are prefaced by the word "including." Although § 503(b)(3)(D), the specific provision for substantial contributions, does not mention chapter 7 creditors, the Bankruptcy Code explicitly provides "including" is not limiting. This Court, as well as the Circuit Courts, have routinely held the word "including" is not limiting. Since a statute is interpreted to accord significance and effect to every word, Congress's decision to preface § 503(b) with "including" shows the

listed administrative expenses are non-exclusive. Indeed, Congress has shown it can provide circumstances where administrative expenses are not permitted. Moreover, the interpretive principle *expressio unius est exclusio alterius*, which is relied on by some courts to exclude chapter 7 creditors under § 503(b)(3)(D), is inapplicable since Congress has indicated § 503(b) is not exclusive. Precluding chapter 7 creditors from ever receiving an administrative expense for a substantial contribution will have a chilling effect on creditor participation in a chapter 7 proceeding, which is often necessary to assist the trustee in performing his or her duties. Accordingly, this Court should affirm.

ARGUMENT

On appeal, this Court reviews the bankruptcy court's decision independently, reviewing its legal determinations de novo and factual findings for clear error. *FB Acquisition Prop. I, LLC v. Gentry (In re Gentry)*, 807 F.3d 1222, 1225 (10th Cir. 2015). The facts of this case are undisputed. R. at 3. Therefore, this Court addresses questions of law under its de novo review. *Id. But see WD Equip., LLC v. Cowen (In re Cowen)*, 849 F.3d 943, 947 (10th Cir. 2017) (stating that the bankruptcy appellate panel's decision "may certainly be persuasive").

I. Section 362(a)(3) is violated only by an affirmative post-petition act.

The first issue before this Court is whether § 362(a)(3) of the Bankruptcy Code[1] requires unconditional turnover of collateral, such that a creditor's passive retention of property lawfully repossessed pre-petition constitutes an "act." This Court should uphold the purpose of the automatic stay by protecting the status qou, and hold that mere retention of property lawfully obtained pre-petition does not constitute a post-petition act. *See In re Richardson*, 135 B.R. 256

[1] Unless otherwise indicated, all references hereinafter to "§ ___" or " section ____" are to a section of the Bankruptcy Code, 11 U.S.C. § 101 *et seq.*, and all references to "Bankruptcy Rule ___" are to the Federal Rules of Bankruptcy Procedure.

(Bankr. E.D. Tex. 1992) (holding that § 362(a)(3) freezes the status quo on the filing of the petition rather than mandates turnover of property seized prepetition).

When a debtor files for bankruptcy, § 362 and its automatic stay prevent creditors from taking action against the debtor and estate except through the bankruptcy court. *Cowen*, 849 F.3d at 948. In order to prevent further action, § 362(a)(3) states that a bankruptcy filing operates as a stay of "any *act* to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate." 11 U.S.C. § 362(a)(3) (2018) (emphasis added). Property of the estate includes "all legal or equitable interests of the debtor in property as of the commencement of the case." 11 U.S.C. § 541(a)(1). The estate also includes property recoverable under the Code's turnover provisions, such as § 542(a), which states "an entity . . . in possession . . . of property that the trustee may use, sell, or lease under § 363 . . . shall deliver to the trustee . . . such property." *United States v. Whiting Pools, Inc.*, 462 U.S. 198, 205 (1983); 11 U.S.C. § 542(a). The automatic stay is "a fundamental debtor protection that not only protects debtors but protects creditors as well." *Froman v. Fein* (*In re Froman)*, 566 B.R. 641, 652 (S.D.N.Y. 2017). However, courts are divided on the proper interpretation of § 362(a)(3). *In re Hall*, 502 B.R. 650 (Bankr. D.D.C. 2014).

Under the Bankruptcy Amendments and Federal Judgeship Act of 1984, Congress added "or to exercise control" to § 362(a)(3); however, it did so without explanation. *In re Denby-Peterson*, 576 B.R. 66, 80 (Bankr. D.N.J. 2017). Currently, "'to exercise control' is the subject of a circuit split made more challenging by the absence of any legislative history on the amendment." *Id.* Forming the majority approach, four circuit courts of appeal have held that a creditor's failure to turnover property of the estate, including passive retention, violates § 362(a)(3) as an exercise of control because turnover is unconditional under § 542(a). *Id.*

In contrast, two circuit courts of appeal have held that § 362(a)(3) is not violated by passive retention of property because the creditor is merely maintaining the status qou. *Id.* *See also Cowen*, 849 F.3d at 949 ("This section, then, stays entities from doing something to obtain possession of or to exercise control over the estate's property. It does not cover the act of passively holding onto an asset . . . ."); *United States v. Inslaw, Inc.*, 932 F.2d 1467, 1474 (D.C. Cir. 1991) ("The statutory language makes clear that the stay applies only to acts taken after the petition is filed."). These minority courts provide the more advantageous approach because they align with this Court's precedent pertaining to the interpretation and purpose of the Bankruptcy Code. Therefore, this court should affirm the decisions below.

A. Section 362(a)(3)'s plain meaning and grammatical structure exemplify that only an affirmative post-petition act violates the automatic stay.

This Court's interpretation of the Bankruptcy Code begins with the statute's text. *United States v. Ron Pair Enterprises, Inc.*, 489 U.S. 235, 241 (1989). There is no need for further inquiry beyond the plain language of the statute if it is coherent and consistent. *Id.* at 240–41. In addition, where a term used in a statute is undefined, such as "act" in § 362(a)(3), this Court gives the term its ordinary meaning. *Hamilton v. Lanning*, 560 U.S. 505, 513 (2010). In the instant case, the statutory text is also where this Court's inquiry of § 362(a)(3) should end, "for where, as here, the statute's language is plain, the sole function of the courts is to enforce it according to its terms," as "reference to legislative history and to pre-Code practice is hardly necessary." *Ron Pair*, 489 U.S. at 241 (citation omitted).

The term "act" is defined as "to make use of" or "the process of doing or performing." BLACK'S LAW DICTIONARY 27 (10th ed. 2014). Therefore, the ordinary meaning of "act" requires a creditor to take some affirmative action. *See Cowen*, 849 F.3d at 949 (explaining that § 362(a)(3) "stays entities from doing something to obtain possession of or to exercise control

over the estate's property"); *id.* ("In other words, § 362(a)(3) prohibits 'any act to obtain possession of property' or 'any act to exercise control over property.'"); *Pardo v. Nylan Health Plans, Inc., (In re APF Co.)*, 274 B.R. 408, 416 (Bankr. D. Del. 2001) ("[T]he automatic stay applies by its terms only to affirmative post-petition acts.").

Indeed, Congress has not provided any indication that it did not intend "what the language of the statute says." *Ron Pair*, 489 U.S. at 246. *See also In re Young*, 193 B.R. 620, 623 (Bankr. D.D.C. 1996) (explaining that Congress did not provide an explanation of the 1984 amendment to § 362(a)(3)). Therefore, the interpretation inquiry is complete and this Court can rely on the plain meaning of § 362(a)(3), which requires an affirmative post-petition act. *See Connecticut Nat. Bank v. Germain*, 503 U.S. 249, 253 (1992) (citation omitted) ("When the words of a statute are unambiguous, then, this first canon is also the last: judicial inquiry is complete."); *id.* at 253–54 ("We have stated time and again that courts must presume that a legislature says in a statute what it means and means in a statute what it says there.").

Additionally, the grammatical structure of § 362(a)(3) demands this interpretation. In *Ron Pair*, this Court held "interest on such claim" within § 506(b) includes post-petition interest on a nonconsensual claim. 489 U.S. at 235. This Court reasoned that, in addition to § 506(b)'s plain meaning, its grammatical structure warranted this interpretation. *Id.* at 241. This Court explained that "interest on such claim" is separated from the remaining statutory text by commas and therefore, stands independent and distinct of the succeeding language within § 506(b). *Id.*

In contrast, the term "act" within § 362(a)(3) is not set off by commas and thus is not independent and distinct from the statute's succeeding language.[2] Thus, "act" applies to both "obtain possession" and "exercise control," requiring a post-petition act by a creditor, which is

[2] In its entirety, § 362(a)(3) reads "any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate."

not satisfied by mere passive retention of property. 11 U.S.C. § 362(a)(3). Accordingly, § 362(a)(3) does not bar continued retention of property lawfully repossessed prepetition. *Hall*, 502 B.R. at 653; *see Barringer v. Ease Leasing* (*In re Barringer)*, 244 B.R. 402 (Bankr. E.D. Mich. 1999) (holding that a creditor's failure to return a truck upon the debtor's bankruptcy filing or trustee's demand did not constitute an act to exercise control over the property).

In *In re Cowen*, the Tenth Circuit focused on the text and grammatical structure of § 362(a)(3) to hold that the statute requires an affirmative post-petition act to violate the automatic stay, and thus, the secured creditors' retention of the debtor's equipment and refusal to turn it over to the estate did not constitute a post-petition act. 849 F.3d at 951. The court began its analysis with the statutory text. *Id.* at 948–49 (quoting *Ransom v. FIA Card Servs., N.A.*, 562 U.S. 61, 69 (2011)) ("The majority rule seems driven more by practical . . . and policy considerations than a faithful adherence to the text. But 'our interpretation of the Bankruptcy Code starts where all such inquiries must begin: with the language of the statute itself.'"). The court reasoned that the plain meaning of § 362(a)(3) is evident from its text and requires a post-petition act. *Id.* at 949. The court further reasoned that the term "act" is not used in isolation but rather is a "prepositional modifier" of the statute and applies to both obtain possession and exercise control. *Id.* Thus, the court explained that the phrases are used together to prohibit a creditor from doing something post-petition, concluding that "[s]tay means stay not go." *Id.*

Through its commitment to the statutory text and this Court's Precedent, the Tenth Circuit exemplified that the plain meaning of § 362(a)(3) and an analysis of its grammatical structure establish that a creditor must commit an affirmative post-petition act in order to violate the automatic stay, which Respondent did not commit in this case through his passive retention of the trucks. The majority, by contrast, has "left the words of the statute in the dust." *Inslaw*,

932 F.2d at 1474; *see also Hall*, 502 B.R. at 653–54 (citation omitted) ("[T]he majority position is highly dubious, . . . and seems driven more by certain practical considerations than a sound, principled interpretation of the meaning of the relevant Code provisions.").

B. Respondent's retention of the property complied with the purpose of the automatic stay.

"The purpose of the automatic stay is to maintain the status quo that exists at the time of the debtor's bankruptcy filing." *APF Co.*, 274 B.R. at 417. In a case involving collateral repossession, a secured creditor maintains the status qou by lawfully repossessing the property pre-petition and continuing passive retention post-petition, subject to bankruptcy court oversight. John C. Chobot, *Some Bankruptcy Stay Metes and Bounds*, 99 Com. L.J. 301, 309 (1994). If such passive possession continues without any act to dispose of the property, the automatic stay is not violated. *Id.* "Only in this way can the secured creditor vindicate its security interest and adequate protection rights." *Id.*

The purpose of § 362 in maintaining the status qou is supported by its 1984 amendment and its prevention of "affirmative conduct that would upset the petition-date status quo." Ralph Brubaker, *Turnover, Adequate Protection, and the Automatic Stay (Part II): Who is "Exercising Control" Over What?,* 33 Bankr. L. Letter 9, Sept. 2013, at 1. *See also In re Bernstein*, 252 B.R. 846, 848–49 (Bankr. D.D.C. 2000) ("[T]he failure to turn over the property is not an affirmative act altering the status quo such as to run afoul of the spirit of the automatic stay."); *Gouveia v. Internal Revenue Serv. (In re Quality Health Care)*, 215 B.R. 543, 580 (Bankr. N.D. Ind. 1997) ("The [creditor] only had a duty to not commit any affirmative, post-petition act that would disturb the status quo as of the petition date.").

In order to uphold the status qou, the minority approach permits a creditor to retain possession of property until the bankruptcy court determines its protections, such as proof of

adequate protection. Brubaker, *supra*, at 1. Thus, the status qou is maintained until the bankruptcy court resolves the parties' respective rights under the Bankruptcy Code and applicable non-bankruptcy law. *Massey v. Chrysler Fin. Corp.* (*In re Massey)*, 210 B.R. 693, 695–96 (Bankr. D. Md. 1997). This reasoning distinguishes a creditor who lawfully obtains property prepetition and awaits an adjudication of its protective rights, thus upholding the status qou, from a creditor who violates the automatic stay by seizing property post-petition and dismembering the estate. Section 362, which is established to punish creditors affirmative actions, cannot be held to punish creditors who lawfully seized property pre-petition and now protect it in compliance with the statute's purpose. *Young*, 193 B.R. at 623–24.

C. The majority's interpretation incorrectly focuses on "exercise control."

The majority's interpretation of § 362(a)(3) is undermined by its analysis, which is limited only to the phrase "exercise control." Anne Zoltani & Hon. Janice Miller Karlin, *Examining S 362(a)(3): When "Stay" Means Stay*, Am. Bankr. Inst. J., May 2017, at 20, 61. This analysis ignores this Court's precedent by not giving effect to every word of the statute, namely the word "act." *See Ransom*, 562 U.S. at 70 (citations omitted) ("We must give effect to every word of a statute wherever possible."). If Congress intended to prohibit any exercise of control, instead of requiring an act, it could have omitted the term "act" altogether. 11 U.S.C. § 362(a)(3). *See, e.g.*, *Ransom*, 562 U.S. at 70 ("If Congress had not wanted to separate in this way debtors who qualify for an allowance from those who do not, it could have omitted the term "applicable" altogether.").

Therefore, by requiring an "act," the minority analysis more faithfully aligns to this Court's precedent by giving effect to every word of the statute. *See* Zoltani & Karlin, *supra*, at 20. ("At the time of the publication of this article, no other cases have closely examined the

significance of § 362(a)'s 'any act' modifier language to highlight an affirmative-versus-passive distinction in § 362(a)(3), as *Cowen* did.").

The majority's approach is entirely dependent on interpreting "exercise control" to include the mere retention of pre-existing possession; however, that approach, although appealing, is problematic. Brubaker, *supra*, at 1. Contrastingly, the minority approach resists the expansive majority interpretation due to its "dramatic departure from pre-1984 practice" and the "absence of … some legislative history indicating an intention to reverse the established practice." *Id.* *See also Young*, 193 B.R. at 626 (explaining that before the 1984 amendment conditioning turnover orders on adequate protection was common practice). Some majority courts contest that their interpretation does not contradict pre-1984 practice; however, this contention is not credible because the majority cites no credible precedent to substantiate that mere retention of property violates the automatic stay. Brubaker, *supra*, at 1.

In contrast, the minority position is solidified on the foundation that an unwarranted expansion effects a major change in the scope of the automatic stay, and such a drastic change should not be inferred from an interpretation that isolates a statute's language absent any Congressional intent. *Cowen*, 849 F.3d at 949–50. *See also Inslaw*, 932 F.2d at 1472 (stating that if the majority's "scope of 'exercise control' were correct, the sweep of § 362(a) would be extraordinary—with a concomitant expansion of the jurisdiction of the bankruptcy court.").

D. Even if this Court focuses on "exercise control," Respondent did not violate § 362(a)(3).

"When Congress amends the bankruptcy laws, it does not write on a clean slate." *Dewsnup v. Timm*, 502 U.S. 410, 419 (1992). The majority's interpretation of § 362(a)(3) focuses on "exercise control," rather than giving each word of the statute meaning, and thus, must be interpreted under *Dewsnup*, rather than *Ron Pair*, because the phrase is ambiguous. *See*

Young, 193 B.R. at 624. The ambiguity arises from whether "exercise control," expanded § 362(a)(3) to include a creditor's passive retention of property. This ambiguity is exacerbated by the absence of any legislative history. *Id.* The minority refuses to follow an expansive interpretation because it "leads to an inconsistent and illogical statutory scheme and would result in a dramatic shift in pre-Code and pre-amendment practice." *Id.* at 625; *id.* at 626 ("[A]s can also be seen from the *Whiting Pools* decision . . . prior to the § 362(a)(3) amendment, the common practice of conditioning turnover orders on proof of adequate protection continued.").

Identically, this Court's precedent illustrates its reluctance to accept arguments that interpret the Bankruptcy Code to effect a major change in pre-Code practice, such as an unwarranted textual expansion, absent some Congressional intent. *Dewsnup*, 502 U.S. at 419; *Czyzewski v. Jevic Holding Corp.*, 137 S. Ct. 973, 984 (2017) (reasoning that the Court expected "an affirmative indication from Congress" to establish a change in bankruptcy practice); *Cohen v. de la Cruz*, 523 U.S. 213, 221–22 (1998) (explaining that this Court will not read the Code to depart from past bankruptcy practice absent a clear, unmistakable indication from Congress).

In the instant case, courts have uniformly supported that "a secured creditor may insist upon adequate protection as a condition precedent to the turnover of property since the property may not be used, sold, or leased by the trustee, under § 363, without it." *Young*, 193 B.R. at 626 (quoting *Kanasky v. Purbeck (In re R. Purbeck & Assocs.)*, 12 B.R. 406, 408 (Bankr. D. Conn. 1981)); *Denby-Peterson*, 576 B.R. at 81. Therefore, if Congress intended the 1984 amendment to depart from past bankruptcy practice "it would have done so explicitly;" however, there is no legislative history or text to support this notion. *Cowen*, 849 F.3d at 950; *Young*, 193 B.R. at 629. Therefore, in accordance with traditional bankruptcy practice, Respondent's retention of the trucks did not constitute an exercise of control in violation of § 362(a)(3).

II. Alternatively, if this Court finds that mere passive retention is an "act . . . to exercise control," Respondent did not violate § 362(a)(3) because neither Congressional intent nor the Bankruptcy Code require turnover without adequate protection.

This Court, when interpreting the Bankruptcy Code, "must not be guided by a single sentence or member of a sentence, but look to the provisions of the whole law." *Kelly v. Robinson*, 479 U.S. 36, 43 (1986); *see also United States v. Ron Pair Enterprises, Inc.*, 489 U.S. 235, 244 (1989) (reasoning that this Court rejected a conclusion that ran contrary to other Code provisions). Also, this Court's interpretation must be guided by the Code's two overarching goals: to provide debtors a fresh start and to provide equal treatment to creditors in terms of repaying the debt. Jack Ayer, *Bankruptcy Overview: Issues, law and Policy* 7 (5th ed. 2006).

A. Analysis of each relevant Bankruptcy Code provision, namely §§ 542(a) and 363(e), exemplifies that § 362(a)(3) is not violated by a creditor's passive retention of property when he lawfully repossessed the property prepetition.

In our case, an analysis of whether Respondent violated the automatic stay by refusing turnover necessarily raises an issue regarding the interaction of §§§ 542(a), 363(e), and 362(a)(3): turnover, adequate protection, and the automatic stay. *Denby-Peterson*, 576 B.R. at 79. In addition, § 362(a)(3) cannot be analyzed without examining §§ 363 and 542 to assure "equal treatment of creditors in terms of repaying the debt." Ayer, *supra*, at 7. Therefore, this Court should interpret the Bankruptcy Code as a whole because the meaning of each provision depends on its context. *In re Hall*, 502 B.R. 650, 659 (Bankr. D.D.C. 2014); *Crandon v. United States,* 494 U.S. 152, 158 (1990) ("In determining the meaning of the statute, we look not only to the particular statutory language, but to the design of the statute as a whole . . . ."). *But see Young*, 193 B.R. at 624 (explaining that the majority's seminal case ignores § 363 and its adequate protection for creditors as a condition precedent to turnover).

Here, an interpretation of § 542(a) as an order requiring turnover without condition is wholly inconsistent with § 363. *Hall*, 502 B.R. at 659. Section § 542(a), which reads in relevant part "an entity . . . in possession of property that the trustee may use, sell, or lease under § 363 . . . shall deliver such property to the trustee," is expressly limited by § 363. 11 U.S.C. § 542(a). In fact, this Court specifically acknowledged this limitation in *United States v. Whiting Pools*. 462 U.S. 198, 211 (1983); *id.* at 206 n.12 ("Section 542 provides that the property be usable under § 363 . . . ."). Thus, Congress chose to provide creditors with adequate protection for their interests and they remain entitled to this throughout the bankruptcy process. *See id.* at 203–04.

Consequently, "property usable under § 363 necessarily includes the limitation of § 363(e) that, 'notwithstanding any other provision of this section, any proposed use is subject to the trustee's obligation to comply with any order issued by the court for adequate protection.'" *Hall*, 502 B.R. at 659 (quoting 11 U.S.C. § 363(e)). This express limitation within § 542(a) constitutes a significant defense to turnover, and an interpretation of § 362(a)(3) that requires turnover without condition abrogates this defense. *Young*, 193 B.R. at 625. Thus, in the absence of Congressional intent otherwise, Respondent's lawful pre-petition seizure and subsequent refusal to turnover the property, until his rights are adequately protected, cannot be interpreted as an exercise of control that violated the automatic stay. *WD Equip., LLC v. Cowen (In re Cowen)*, 849 F.3d 943, 949 (10th Cir. 2017).

B. The majority approach erroneously concludes that § 542(a) is self-executing.

Although § 542(a) has remained the same since the Bankruptcy Code was enacted in 1978, the majority interprets the 1984 amendment to § 362(a)(3) to change the meaning and operation of § 542(a) to a self-executing provision. *Hall*, 502 B.R. at 654. However, prior to the amendment, § 542(a) was not self-executing and the amendment did not effectuate such change.

Id. at 655. Section 542(a) is not self-executing because it does not operate as a statutory injunction, like § 362(a), and it contains express limitations in its text, such as the adequate protection defense. *Id.* If a creditor raises one of the limitations as a defense to turnover, there is no indication in the Code that a creditor violates § 362(a)(3) by retaining its collateral when asserting such a defense. *In re Bernstein*, 252 B.R. 846, 850 (Bankr. D.D.C. 2000). Instead, the Code plainly contemplates that the court will adjudicate such defenses prior to turnover. *Id.*

Under pre-Code and current practice, § 542(a) does not act as a statutory injunction but rather empowers the courts to order turnover of collateral conditioned on the provision of adequate protection, which this Court acknowledged in *Whiting Pools*. 462 U.S. at 206; *Hall*, 502 B.R. at 656. Therefore, § 542(a) is a codification of pre-Code practice that "provides an express statutory basis for a bankruptcy court to enter an injunctive order compelling turnover of identified property in the possession of a third party," which, if violated, subjects the third party to sanctions under § 105(a). *Hall*, 502 B.R. at 657; *Gharib v. Casey (In re Kenny G Enterprises, LLC)*, 692 F. App'x 950, 952 (9th Cir. 2017). *See also* Brubaker, *supra*, at 1 ("As the historical evolution of the turnover power clearly reveals, § 542(a) is not self-executing. And given that truism, it seems highly unlikely that Congress would indirectly impose a self-effectuating turnover obligation via § 362(a)(3) that exceeds the scope of the § 542(a) turnover provision.").

Furthermore, the majority's interpretation incorrectly expands this Court's *Whiting Pools* decision, which did not address whether § 542(a) was self-executing or the elimination of adequate protection as a condition precedent to turnover. *Bernstein*, 252 B.R. at 849 ("The Court did not undo long settled practice requiring a turnover order when a creditor insists upon adequate protection of its interest in property it seized prepetition."); *Young*, 193 B.R. at 622–23 (explaining that no courts involved in *Whiting Pools* held that § 542(a) could be self-executing).

In addition, § 542(a) cannot be interpreted as self-executing because "there are explicit limitations on the reach of § 542(a)," under which turnover is conditional, namely the express incorporation of § 363. *Whiting Pools*, 462 U.S. at 206. Under this Court's precedent, interpretation of the Code must entail a holistic analysis of each relevant code provision. *Kelly*, 479 U.S. at 43. However, an interpretation of § 542(a) as self-executing undermines this cannon and ignores the express limitations of the text, causing creditors who seek adequate protection before turnover, under § 363(e), to violate § 362(a)(3). *See Hall*, 502 B.R. at 666 (explaining that, because the majority does not give effect to each relevant Code provision, an absurd result occurs when turnover is not required under § 542(a), due to its explicit limitations, but the creditor is in contempt under § 362(a)(3)). *See also Griffin v. Oceanic Contractors, Inc.,* 458 U.S. 564, 575 (1982) ("[I]nterpretations of a statute which would produce absurd results are to be avoided if alternative interpretations consistent with the legislative purpose are available.").

The express limitations on the face of § 542(a) underscore the improbability that Congress intended the sweeping scope of § 362(a)(3) proscribed by the majority, which results in a "universal end-run around the limits of turnover." *United States v. Inslaw, Inc.*, 932 F.2d 1467, 1473 (D.C. Cir. 1991). *See also Bernstein*, 252 B.R. at 850 ("If § 542(a) requires turnover without the necessity of a turnover order, this would mean that there would be no necessity for the trustee to provide adequate protection.").

Additionally, the word "shall" within § 542(a) does not make the statute self-executing. Under this Court's precedent, "identical words and phrases within the same statute should normally be given the same meaning." *Hall v. United States*, 566 U.S. 506, 519 (2012). This Court interpreted § 542(b) in *Citizens Bank of Md. v. Strumpf*, and concluded that, despite its use of the term "shall," § 542(b) is not self-executing and § 362(a)(3) does not over expand to

undermine § 542(b). 516 U.S. 16, 20 (1995). In our case, §§ 542(a) and 542(b)[3], which contain parallel text and limitations, should be interpreted similarly to avoid providing § 542(a) unintended breadth. *Bernstein*, 252 B.R. at 852. *See also Hall*, 502 B.R. at 658 ("This view of § 542(a) as not self-executing is required as well by another long-standing principle of statutory construction. When sister provisions of a statute contain the same word, that word ought to be given the same meaning.").

Moreover, "it is an elementary rule of construction that the act cannot be held to destroy itself." *Strumpf*, 516 U.S. at 20 (citation omitted). Under the majority's interpretation, a creditor's right to adequate protection, under § 363, is rendered meaningless if §§ 362(a)(3) and 542(a) are read to require turnover before there is an opportunity for the court to grant adequate protection. *Hall*, 502 B.R. at 660. This interpretation undermines a creditor's absolute right, under § 363(e), to "adequate protection of its security interest in connection with the proposed use of its collateral." *Barringer*, 244 B.R. at 409–10. This cannot be Congress's intent because § 542(a) is expressly limited by § 363, and it is illogical to have intended that the estate not be entitled to turnover under § 542(a) but for the creditor to simultaneously to be required to turnover the collateral under § 362(a)(3), which interprets the act to destroy itself. *Young*, 193 B.R. at 625. *See also Bernstein*, 252 B.R. at 850–51 ("Surely Congress did not intend § 542(a) to be interpreted in a fashion that would eviscerate the statutory protections of § 363(e) . . . .").

C. The minority's interpretation of § 542(a) does not burden the debtor, and provides the more practical, as well as judicially efficient, approach.

If a consensual turnover cannot be reached, a practical issue arises in cases concerning whether turnover should be required before adequate protection is provided: which party should

[3] Section 542(b) reads in relevant part, "an entity that owes a debt that is property of the estate . . . shall pay such debt to, or on the order of, the trustee, except to the extent that such debt may be offset under section 553 of this title against a claim against the debtor."

bear the burden of initiating turnover proceedings? Brubaker, *supra*, at 1. The majority acknowledges a secured creditor's right to adequate protection, but, because their interpretation is driven only by this practical consideration, they eviscerate this right. *Id.* In fact, the majority approach affords debtors the incentive to never provide adequate protection in a negotiated turnover because creditors must turnover collateral without condition or face sanctions for asserting their statutory defenses. *Id.* (explaining that the majority approach renders § 542(a)'s defenses "superfluous and unnecessary," and those who use them may be sanctioned for contempt). Additionally, unconditional turnover provides added financial burden to creditors who have already undertaken the expense of repossession and face the imminent depreciation of their collateral because a bankruptcy filing, which is a likely occurrence after repossession, results in a significant risk of lost expenses and collateral without the guarantee of adequate protection. *Young*, 193 B.R. at 627.

Making the majority approach more troubling is its willingness to revoke a creditor's property right upon a mere demand by a debtor in possession or trustee, which controverts the Fifth Amendment, and contrasts the Code's statutory allocation on the debtor to prove adequate protection under § 363(p)(1). *Barringer*, 244 B.R. at 409; *Young*, 193 B.R. at 625. Under the majority approach, creditors are handcuffed because their only course of action is to immediately turnover any collateral and waive their § 542(a) defenses until after the estate obtains the property; however, this may destroy their security interest, if possessory, and undermines their right to adequate protection. *Young*, 193 B.R. at 625. Thus, practically, "the creditor should be entitled to hold onto the property during the pendency of the § 542 action until the adequate protection question is resolved." *Id.* Protecting a creditor's right to adequate protection, in such a manner, safeguards against the very harm for which § 363 is intended to prevent. *Id.*

The potential harm resulting from a secured creditor's relinquishment of collateral, prior to any provision of adequate protection, far exceeds any harm to the debtor or estate. Unconditional turnover, under the majority approach, results in turnover without the guarantee of adequate protection to which a secured creditor is entitled, such as proof of insurance for an automobile. *Young*, 193 B.R. at 626–27. Turnover without such guarantee has resulted in harm to the debtor's collateral, such as depreciation of value and destruction of the property. *See, e.g.*, *Strumpf*, 516 U.S. at 18 (explaining that between the time the creditor turned over the collateral bank account and received relief from the stay the debtor had depleted the account's funds). Instead, it is more likely Congress "did not intend to alter the status quo of repossessed property until the question of adequate protection could be addressed" because it results in "an unwarranted alteration of the parties' prepetition bargaining strengths, with no suggestion in the legislative history that § 362(a)(3) was intended to alter this." *Young*, 193 B.R. at 626–27.

In contrast, under the minority approach, the debtor's burden is minimal. Minority courts require only what the text of § 542(a) requires, that secured creditors be afforded adequate protection before turnover. *See Tidewater Fin. Co. v. Moffet (In re Moffett)*, 356 F.3d 518, 524 (4th Cir. 2004) (holding that the creditor was entitled to adequate protection before turnover and the debtor's provision of payments within its plan was satisfactory). *See also Massey v. Chrysler Fin. Corp. (In re Massey)*, 210 B.R. 693, 696 (Bankr. D. Md. 1997) (reasoning that proof of insurance for an automobile sufficed to satisfy the creditor's right to adequate protection before turnover). Requiring a debtor to abide by the statutory text fulfills the relevant code provisions and both parties' rights. *Moffett*, 356 F.3d at 524; *Deiss v. Southwest Recovery (In re Deiss)*, 166 B.R. 92, 94 (Bankr. S.D. Tex. 1994) ("[D]ebtor is entitled to possession, and [creditors] are entitled to adequate protection before turnover."). *See also Denby-Peterson*, 576 B.R. at 82 n.16

(reasoning that it is impractical and absurd for a court to order turnover only to have a creditor immediately file for relief from the stay due to lack of adequate protection).

Moreover, if a creditor has no basis for defense under § 542(a), the debtor only needs to file a turnover order, which a creditor must obey or face § 105(a) sanctions. *Cowen*, 849 F.3d at 950; *see* Anne Zoltani & Hon. Janice Miller Karlin, *Examining S 362(a)(3): When "Stay" Means Stay*, Am. Bankr. Inst. J., May 2017, at 20, 61 (explaining that, under the minority approach, creditors should return collateral unless they have a valid § 542(a) defense, such as adequate protection). The debtor has no filing fee, for an adversary proceeding under Bankruptcy Rule 7001, which would be recoverable from the creditor if victorious, and any fees to be paid from the estate may be deferred until the estate has sufficient assets. *Young*, 193 B.R. at 628.

Further protecting the debtor, Bankruptcy Rule 7065 empowers the debtor or trustee to seek a temporary restraining order or preliminary injunction within the adversary proceeding, and Bankruptcy Rule 9011 enables the debtor or trustee to seek sanctions against the creditor for any frivolous defenses to turnover. *Id.* Any expense the debtor or trustee incurs merely reflects a Bankruptcy Code that protects property rights by conditioning turnover on adequate protection. *Id.* at 628 n. 22. Thus, the minority approach does not expose debtors to "any troubling hazard," and maintains all their legal and equitable rights in any collateral seized pre-petition. *Inslaw*, 932 F.2d at 1473–74. Consequently, the minority approach protects the status qou and provides mechanisms to protect the debtor, while simultaneously affording each party a fair opportunity to be heard and serving the interests of efficiency and due process. *TranSouth Fin. Corp. v. Sharon (In re Sharon)*, 234 B.R. 676, 689 (B.A.P. 6th Cir. 1999) (Strosberg, J., dissenting). Perhaps, other courts will reconsider their approach to incorporate these fundamental interests, as have the courts in the minority approach.

III. In a chapter 7 proceeding, a creditor can receive an administrative expense under § 503(b) if the creditor makes a substantial contribution to the estate.

The second issue before this Court is whether a creditor may receive an administrative expense under § 503(b) in making a substantial contribution to the estate in a chapter 7 proceeding. This Court should follow its long-standing statutory interpretation precedent and encourage creditor participation by holding chapter 7 creditors can receive a substantial contribution administrative expense under § 503(b). *See Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810, 819 (6th Cir. 2015).

Section 503 permits bankruptcy courts to award administrative expenses in a variety of circumstances. For creditors, § 503(b)(3) provides two examples of an administrative expense. First, a creditor may receive an administrative expense under § 503(b)(3)(B) when, after the bankruptcy court's approval, the creditor recovers any property transferred or concealed by the debtor for the benefit of the estate. Second, a creditor may receive an administrative expense under § 503(b)(3)(D) in making a substantial contribution to the estate. In both cases, if the creditor hired an attorney to assist in recovering transferred property or making a substantial contribution, the creditor can recover reasonable compensation for the attorney's professional services. 11 U.S.C. § 503(b)(4) (2018). Here, because Respondent did not seek the bankruptcy court's approval before reviewing Mr. Clemons' personal records, Respondent can only receive an administrative expense under § 503(b)(3)(D).

To recover an administrative expense under § 503(b)(3)(D), the creditor must have incurred expenses in making a substantial contribution to the bankruptcy estate. A creditor makes a substantial contribution when the creditor's efforts "resulted in an actual and demonstrable benefit to the debtor's estate and the creditors." *Haskins v. United States (In re Lister)*, 846 F.2d 55, 57 (10th Cir. 1988) (citations omitted). Proving the creditor made a

substantial contribution is often a difficult burden. *See In re S & Y Enterprises, LLC*, 480 B.R. 452, 462 (Bankr. E.D.N.Y. 2012) (quoting *In re Villa Luisa, LLC*, 354 B.R. 345, 348 (Bankr. S.D.N.Y. 2006)) ("Courts caution that '[t]he burden of proving substantial contribution . . . is exceedingly difficult since the general presumption is that the [applicant] is acting in its own interest."). Moreover, administrative expense claims are "strictly construed because they 'reduce the funds available for creditors and other claimants.'" *Connolly N. Am.*, 802 F.3d at 816 (quoting *City of White Plains v. A & S Galleria Real Estate, Inc. (In re Federated Dep't Stores, Inc.)*, 270 F.3d 994, 1000 (6th Cir. 2001)). Here, however, the Trustee does not dispute Respondent met this burden and made a substantial contribution.

Therefore, the only issue is whether Respondent, a chapter 7 creditor, may receive an administrative expense under § 503(b)(3)(D). Notably, § 503(b)(3)(D) is silent on whether a chapter 7 creditor may receive a substantial contribution administrative expense claim, as the statute only provides a creditor can receive an administrative expense "in making a substantial contribution in a case under chapter 9 or 11 of this title." 11 U.S.C. § 503(b)(3)(D). Notwithstanding the absence of chapter 7 in the statutory text, some courts have nevertheless permitted chapter 7 creditors to receive an administrative expense under § 503(b)(3)(D). *See, e.g.*, *Connolly N. Am.*, 802 F.3d at 815; *In re Maust Transp., Inc.*, 589 B.R. 887 (Bankr. W.D. Wash. 2018); *In re Health Trio, Inc.*, 584 B.R. 342 (Bankr. D. Colo. 2018). Other courts, however, have held contrary.[4] *See, e.g.*, *Lebron v. Mechem Fin., Inc.*, 27 F.3d 937, 945 (3d. Cir. 1994); *In re Engler*, 500 B.R. 163, 174 (Bankr. M.D. Fla. 2013). Because the plain text of § 503(b), statutory interpretation principles, and the desire for creditor participation in chapter 7

[4] The dissent of *Connolly* noted that at the time of the 6th Circuit's opinion, 25 bankruptcy or district courts recognized § 503(b)(3)(D) was limited to only chapter 9 and 11 cases, whereas only four bankruptcy courts allowed a creditor to receive an administrative expense under § 503(b)(3)(D). *Connolly N. Am.*, 802 F.3d at 822–23, n.2.

proceedings all support a non-limiting interpretation of § 503(b), this Court should hold creditors may receive a substantial contribution administrative expense in a chapter 7 proceeding.

A. The text of § 503(b) mandates a non-limiting interpretation that permits a chapter 7 creditor to receive an administrative expense under § 503(b)(3)(D) in making a substantial contribution to the estate.

When resolving disputes under the Bankruptcy Code, "the task of resolving the dispute . . . begins where all such inquires must begin: with the language of the statute itself." *United States v. Ron Pair Enterprises, Inc.*, 489 U.S. 235, 241 (1989). If the text is clear, this Court does not need to look further because when "the statute's language is plain, 'the sole function of the courts is to enforce [the statute] according to its terms.'" *Id.* (quoting *Caminetti v. United States*, 242 U.S. 470 (1917)). *See also Hartford Underwriters Ins. Co. v. Union Planters Bank, N.A.*, 530 U.S. 1, 6 (2000) (quoting *Connecticut Nat. Bank v. Germain*, 503 U.S. 249 (1992)) ("Congress 'says in a statute what it means and means in a statute what it says there.'").

This Court need not look further, as the plain language of § 503(b) mandates a non-limiting interpretation. Section 503(b) provides that "[a]fter notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) if this title, ***including*** . . . ." 11 U.S.C. 503(b) (emphasis added). Section 102(3) of the Bankruptcy Code, in turn, provides the term "including" is not limiting. 11 U.S.C. 102(3). Because the word "including" is in the preface of § 503(b), Congress indicated the nine enumerated categories of administrative expenses are not exclusive. *Connolly N. Am.*, 802 F.3d at 816–17; *United States v. Ledlin (In re Mark Anthony Const., Inc.*, 886 F.2d 1101, 1106 (9th Cir. 1989) (citations omitted) ("[T]he use of a form of the word 'include' is significant, and generally thought to imply that terms listed immediately afterwards are an inexhaustive list of examples, rather than a bounded set of applicable items.").

Indeed, this Court has previously held "including" is a non-limiting term. *See, e.g.*, *Marrama v. Citizens Bank of Massachusetts*, 549 U.S. 365, 372–74 (2007); *Fed. Land Bank of St. Paul v. Bismarck Lumber Co.*, 314 U.S. 95, 100 (1941) ("[T]he term 'including' is not one of all-embracing definition, but connotes simply an illustrative application of the general principle."); *Am. Sur. Co. of New York v. Marotta*, 287 U.S. 513, 517 (1933) (citations omitted) ("In definitive provisions of statutes and other writings, 'include' is frequently, if not generally, used as a word of extension or enlargement rather than as one of limitation or enumeration.").

For example, in *Marrama*, this Court held a chapter 7 proceeding may not be converted to a chapter 13 proceeding if the debtor engages in prepetition bad faith conduct. 549 U.S. at 372–74. To support this holding, this Court relied on § 1307(c) of the Bankruptcy Code. *Id.* Pertinently, § 1307(c), like § 503(b), has the word "including" in the preface of the statute. 11 U.S.C. § 1307(c). After the word "including," § 1307(c) then lists ten causes justifying conversion. *Id.*; *Marrama*, 549 U.S. at 373. Notably, "[n]one of the specific causes mentions prepetition bad-faith conduct . . . ." *Marrama*, 549 U.S. at 373. Nevertheless, due to the word "including" in the preface of § 1307(c), this Court held the ten causes were not exclusive and interpreted § 1307(c) to include the debtor's prepetition bad-faith conduct.[5] *Id.* at 372–74. Accordingly, because the nine administrative expenses in § 503(b) are similarly prefaced by "including," the listed examples are not exclusive. Thus, a chapter 7 creditor may receive an administrative expense under § 503(b) for a substantial contribution even though a chapter 7 creditor is not explicitly mentioned in the statute.

[5] In *Marrama*, the Court also opined its holding was supported by 11 U.S.C. § 105(a), which grants broad authority to "bankruptcy judges to take action that is necessary or appropriate 'to prevent an abuse of process.'" *Marrama*, 549 U.S. at 375 (quoting 11 U.S.C. § 105(a)). However, this Court made clear in *Law v. Siegel* that *Marrama*'s holding was rooted in statutory interpretation rather than equitable principles. 571 U.S. 415, 425–26 (2014). Thus, *Law v. Siegel* highlights this Court's reliance on the word "including" in its holding.

The Circuit Courts have similarly held "including" is non-limiting term in the Bankruptcy Code. For example, at least six circuits have held "including" does not limit the definition of "for cause" within 11 U.S.C. § 707(a). *See Janvey v. Romero*, 883 F.3d 406, 412 (4th Cir. 2018) (citing cases from the Third, Fifth, Sixth, Seventh, and Eleventh Circuits). Due to "including" in the preface of § 707(a), these courts hold the listed examples of "for cause" are illustrative rather than exhaustive. *See, e.g.*, *Janvey*, 883 F.3d at 411. If this Court holds a chapter 7 creditor is not entitled to a substantial contribution administrative expense, this Court must find "including" limits the listed examples of § 503(b). Such a holding would abrogate cases such as *Janvey*, leaving the lower courts uncertain if "including" is indeed a non-limiting term as defined in § 102(3). Consequently, this Court should affirm the Circuit Court's settled precedent and hold "including" is a non-limiting term, which permits a creditor to receive a substantial contribution administrative expense in a chapter 7 proceeding.

Since the statutory text shows the nine examples of administrative expenses in § 503(b) are not exhaustive, this Court does not need to look past the plain language of the statute. *See Ron Pair*, 489 U.S. at 241. The plain language of a statute is conclusive "except in the 'rare cases [in which] the literal application of a statute will produce a result demonstrably at odds with the intentions of its drafters.'" *Id.* at 242 (quoting *Griffin v. Oceanic Contractors, Inc.*, 458 U.S. 564, 571 (1982)). Here, even if this Court finds the statutory language non-conclusive, the 1978 amendments to § 503(b) shows Congress intended the nine enumerated examples of administrative expenses to be non-exclusive. Prior to 1978, § 503(b) did not contain "including" in the preface of the statute. Linda E. Coco, *Section 503(b) of the Bankruptcy Code Should be Construed to Authorize Substantial Contribution Awards to Creditors in Chapter 7 Cases*, 26 Norton J. of Bankr. L. & Prac., Aug. 2017, at E. However, when Congress amended the

Bankruptcy Code in 1978, Congress added "including" to the preface of § 503(b) *Id.* By adding "including," Congress signaled § 503(b) was non-exclusive and other types of administrative expenses exist. *Id.* Accordingly, permitting chapter 7 creditors to receive a substantial contribution administrative expense is not at odds with Congress's intent. *Ron Pair*, 489 U.S. at 241. Rather, permitting chapter 7 creditors to receive an administrative expense under § 503(b) is congruent with Congress's intent and with the plain language of the statute.

B. The statutory structure of § 503(b) does not foreclose chapter 7 creditors from receiving an administrative expense under § 503(b)(3)(D) in making a substantial contribution to the estate.

The statutory structure of § 503(b) further indicates chapter 7 creditors may receive an administrative expense in making a substantial contribution to the estate. When interpreting the Bankruptcy Code, this Court "accord[s] significance and effect . . . to every word" to avoid denying effect to a part of the statute. *Rake v. Wade*, 508 U.S. 464, 471–72 (1993) (citations omitted). *See also Corley v. U.S.*, 556 U.S. 303, 314 (2009) (quoting *Hibbs v. Winn*, 542 U.S. 88, 101 (2004)) ("[A] statute should be construed so that effect is given to all its provisions, so that no part will be inoperative or superfluous, void or insignificant . . . ."). If § 503(b) is interpreted as a comprehensive list that excludes a substantial contribution administrative expense claim in chapter 7 proceedings, the word "including" is rendered inoperative and superfluous. Accordingly, § 503(b) must be interpreted as a non-exhaustive list to give significance and effect to every word.

Similarly, interpreting § 503(b) as a non-exhaustive list does not render the language of § 503(b)(3)(D) inoperative or superfluous. Courts denying administrative expenses to chapter 7 creditors argue that broadly construing § 503(b) reads § 503(b)(3)(D) out of the statute. *See Health Trio*, 584 B.R. at 352 (discussing why Courts have denied administrative expenses to

chapter 7 creditors). However, "[i]t makes good sense that . . . Congress would expressly mention Chapters 9 and 11 in the context of creditor activity in making a 'substantial contribution,' but not Chapter 7." *Connolly N. Am.*, 802 F.3d at 817. In chapter 9 and 11 cases, a creditor often spends its own time and resources to benefit the bankruptcy estate, whereas in chapter 7 cases, the trustee fulfills this role. *Id.* (citations omitted). However, the role of the trustee is not an ultimate "fail-proof safeguard, and in certain circumstances, a Chapter 7 creditor may be compelled to utilize its own resources to protect the estate as a whole." *Id.* Thus, Congress made it clear creditors can recover administrative expenses in chapter 9 and 11 cases, but did not foreclose a creditor recovering in a chapter 7 case. *See In re Javed*, 592 B.R. 615, 621 (Bankr. D. Md. 2018).

Indeed, "Congress was fully capable of stating that § 503(b) excludes reimbursement in Chapter 7 cases if that is what it actually intended the statute to do." *Connolly N. Am.*, 802 F.3d at 818 (citations omitted). For example, in 2005, Congress amended § 503 to specifically prohibit administrative claims in three circumstances. *Maust Transp.*, 589 B.R. at 893 (citing 11 U.S.C. § 503(c)). When Congress amended § 503, Congress made clear it "has removed the broad discretion granted to courts in § 503 where it deems the exercise of such discretion improper as to certain specific categories of administrative claims." *Id.* As such, if Congress sought to exclude chapter 7 creditors from receiving an administrative claim under § 503(b)(3)(D), it would have done so.

Accordingly, the language of § 503(b)(3)(D) retains significance since the statute makes it expressly clear that chapter 9 and 11 creditors may recover administrative expenses upon making a substantial contribution. Simultaneously, by giving effect to the word "including,"

§ 503(b)(3)(D) does not foreclose the possibility of chapter 7 creditors recovering administrative expenses, and each word of the statute is given significance and effect.

The grammatical structure of § 503(b) further indicates chapter 7 creditors are not foreclosed from receiving administrative expenses under § 503(b)(3)(D). When interpreting a statutory section of the Bankruptcy Code, the grammatical structure should be considered, and indeed, the grammatical structure may mandate a certain reading of the statute. *Ron Pair*, 489 U.S. at 241. When § 503(b), subsection 503(b)(3), and subsection 503(b)(3)(D) are read as one coherent sentence[6], it is grammatically improper to conclude that "including" does not modify "a creditor . . . in making a substantial contribution in a case under chapter 9 or 11 of this title." 11 U.S.C. § 503(b)(3)(D); *In re Maqsoudi*, 566 B.R. 40, 44 (Bankr. C.D. Cal. 2017). Because "including" is not limiting, and the grammatical structure mandates "including" modifies § 503(b)(3)(D), chapter 7 are not foreclosed from receiving an administrative expense.

Furthermore, the statutory structure of § 503(b) is distinguishable from the statutory structure of the Bankruptcy Code section analyzed by this Court in *RadLAX Gateway Hotel, LLC v. Amalgamated Bank*, 566 U.S. 639, 645 (2012). In *RadLAX*, this Court was interpreting § 1129(b)(2)(A), and noted the interpretation canon that "the specific governs the general" was necessary to resolve the interpretation issue. *Id.* (quoting *Morales v. Trans World Airlines, Inc.,* 504 U.S. 374, 384 (1992)). This Court noted "[t]he general/specific canon is most frequently applied to statutes in which a general permission or prohibition is contradicted by a specific

---

[6] If the statute's formatting is removed, the following sentence results (italics used to show different clauses):

> *After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including* the actual, necessary expenses, other than compensation and reimbursement specified in paragraph 4 of this subsection, incurred by *a creditor, indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointer under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title.*

11 U.S.C. § 503(b)(3)(D) (emphasis added).

prohibition or permission." *RadLAX*, 566 U.S. at 645. Accordingly, to eliminate the contraction, "the specific provision is construed as an exception to the general one. *Id.* (citing *Morton v. Mancari*, 417 U.S. 535, 550–51 (1974)). Applying this canon to § 1129(b)(2)(A), this Court held that since § 1129(b)(2)(A)(ii) precisely governed the actions at issue, § 1129(b)(2)(A)(iii), the residual provision, could not be broadly read to also govern the actions at issue. *Id.* at 646.

Here, the general/specific canon is inapplicable to prevent chapter 7 creditors from recovering administrative expenses under § 503(b)(3)(D). First, § 503(b) is distinguishable from § 1129(b)(2)(A) because the list of examples in § 503(b) is prefaced with the word "including," whereas § 1129(b)(2)(A) is not. *Connolly N. Am.*, 802 F.3d at 818. Second, permitting a chapter 7 creditor to receive an administrative expense does not violate any subsection of § 503(b). Similarly, no other subsection of § 503(b) discusses awarding chapter 7 creditors substantial contribution administrative expenses. Accordingly, there is no general statutory provision that is contradicted by a specific statutory provision. Rather, the statutory structure of § 503(b) mandates the stated examples are a non-exclusive list that may include certain situations not expressly mentioned by Congress. Consequently, chapter 7 creditors may receive an administrative expense in making a substantial contribution to the estate under § 503(b).

C. The interpretation canon *expressio unius est exclusio alterius* is not applicable when interpreting § 503(b).

Because the word "including" is in the preface of § 503(b), the interpretation canon *expressio unius est exclusio alterius* in not applicable to preclude chapter 7 creditors from receiving an administrative expense in making a substantial contribution to the estate. The majority of courts that deny substantial contribution administrative expenses for chapter 7 creditors employ the interpretation canon *expressio unius est exclusio alterius* to preclude these creditors, asserting "the specific inclusion of chapters 9 and 11 in the statute is the specific

exclusion of chapter 7." *Health Trio*, 584 B.R. at 352 (citing *In re United Educ. & Software*, No. BAP CC-05-1067-MAMEP, 2005 WL 6960237, at *7 (B.A.P. 9th Cir. Oct. 7, 2005)). The interpretive canon *expressio unius est exclusio alterius* means "expressing one item of [an] associated group or series excludes another left unmentioned." *Chevron U.S.A. Inc. v. Echazabal*, 536 U.S. 73, 80 (2002) (quoting *United States v. Vonn*, 535 U.S. 55, 65 (2002)).

As this Court has noted, "[t]he rule is fine when it applies," however, there are cases where the rule is not applicable. *Id.* (citing three Supreme Court cases all holding the interpretive canon *expressio unius est exclusio alterius* was not applicable). For example, in *Chevron*, this Court held the interpretative canon *expressio unius est exclusio alterius* was not applicable since the statute at issue, 42 U.S.C. § 12113(b), had the words "may include" in the preface of the statute. *Chevron U.S.A.*, 536 U.S. at 79–80. This Court noted "the expansive phrasing of 'may include' points directly away from [any] sort of exclusive specification . . . ." *Id.* at 80 (citing *United States v. New York Telephone Co.*, 434 U.S. 159, 169 (1977); *Fed. Land Bank of St. Paul*, 314 U.S. at 100). Similarly, by using the word "including" at the preface of § 503(b), Congress explicitly signaled § 503(b) was not exhaustive. As such, this expansive phrasing points directly away from any sort of exclusive specification, rendering the interpretation canon *expressio unius est exclusio alterius* inapplicable.

Other courts have similarly held the interpretative canon *expressio unius est exclusio alterius* is inapplicable when interpreting § 503(b). *Mark Anthony Const.*, 886 F.2d at 1106; *Maust Tansport*, 589 B.R. at 888; *Maqsoudi*, 556 B.R. at 45. For example, in *Mark Anthony*, the Ninth Circuit noted the use "of the word 'include' is significant, and generally thought to imply that terms listed immediately afterwards are an inexhaustive list of examples, rather than a bounded set of applicable items." *Mark Anthony Const.*, 886 F.2d at 1106 (citations omitted).

Because Congress gave the unambiguous directive that "including" is not limiting in § 102(3), the 9th Circuit held the interpretation canon *expressio unius est exclusio alterius* is inapplicable for § 503(b). *Id.* As a result, the 9th Circuit permitted an administrative claim for an action that was not directly stated in § 503(b). *Id.* at 1108. Accordingly, since the interpretation canon *expressio unius est exclusio alterius* is inapplicable for § 503(b), this Court should allow chapter 7 creditors to receive an administrative expense in making a substantial contribution even though such creditors are not explicitly mentioned in § 503(b)(3)(D).

D. Prohibiting creditors from receiving an administrative expense for a substantial contribution in chapter 7 proceedings will have a chilling effect on creditor participation.

Inherently, chapter 7 proceedings are different from chapter 9 and 11 proceedings due to the role of the trustee. *See, e.g.*, *Connolly N. Am.*, 802 F.3d at 817 (discussing the role of the U.S. trustee in chapter 7 proceedings). A chapter 7 bankruptcy trustee plays an important role in chapter 7 proceedings and is tasked with "specific obligations to the bankruptcy court and to the parties in the cases in which the trustee serves." Hon. Steven Rhodes, *The Fiduciary and Institutional Obligations of a Chapter 7 Bankruptcy Trustee*, 80 Am. Bankr. L.J. 147, 148–49 (2006). These obligations are otherwise known as the trustee's fiduciary duties, which include duties of loyalty, distribution maximization, diligence, claims review, and information disclosure. *Id.* at 154–55. The bankruptcy code also mandates the trustee perform certain actions. 11 U.S.C. § 704. These actions include colleting and reducing to money the property of the estate and investigating the financial affairs of the debtor. *Id.* at § 704(a)(1), (4).

Although the trustee is tasked with these actions and must comply with the imposed fiduciary duties, because the overwhelming number of chapter 7 cases are no-asset cases, the trustee is often in a vicarious position. *See* Rhodes, *supra*, at 208. In a chapter 7 case, a trustee

is first compensated with a $60 fee that is paid out of the case filing fee. John Silas Hopkins, III, *Effective Review of Compensation in Large Bankruptcy Cases*, 88 Am. Bankr. L.J. 127, 134–35 (2014). The trustee is also entitled to reasonable compensation for the trustee's services, but is limited "based on sliding percentages of 'all moneys disbursed or turned over in the case by the trustee to the parties in interest, excluding the debtor, but including holders of secured claims.'" *Id.* at 134 (quoting 11 U.S.C. § 326(a)). Notably, in a no-asset case, there is no estate property for a trustee to distribute to the debtor's creditors. As such, because the trustee does not distribute any money to creditors, the trustee is only compensated the $60 fee for performing its required duties and conforming to the imposed fiduciary duties. *Id.* at 134–35.

Therefore, since the majority of chapter 7 cases are no asset cases, the trustee is typically compensated only $60 per case.[7] Rhodes, *supra*, at 208. As a result, if there is speculation the debtor may have fraudulently transferred property, the trustee may be unwilling to pursue the potential claim without significant evidence. If the claim is successful, the trustee will have money to distribute to creditors; thus, increasing the trustee's compensation. However, if the claim is unsuccessful, there is no money to distribute to creditors, so the trustee is not compensated for trying to pursue a potential fraudulent transfer. For example, in *Maust Transport*, the trustee "was hesitant to pursue the fraudulent transfer claim because of the substantial expense and risk that the estate would not prevail on the claim." 589 B.R. at 891. However, a creditor assisted the trustee to pursue the ultimately successful claim, and the bankruptcy court awarded the creditor an administrative expense since it made a substantial contribution to the estate by assisting the trustee. *Id.* at 891, 899.

[7] For example, a study found that in 2004, 96% of chapter 7 cases that year were no asset cases. Rhodes, *supra*, at 208 n.280 (citation omitted).

Accordingly, not permitting a creditor to receive an administrate expense in a chapter 7 proceeding, such as the creditor in *Maust Transport*, does not only create a windfall for the estate, but also has a "chilling effect" on creditor participation. *In re Zedda*, 169 B.R. 605, 608 (Bankr. E.D. La. 1994) (citation omitted). Awarding administrative expenses in making a substantial contribution encourages creditors to help the trustee pursue claims the trustee may ignore. Otherwise, creditors will be deterred from assisting the trustee in recovering estate property or pursing a fraudulent transfer since the difference in money the creditor will ultimately receive from the estate may not cover its administrative expenses. *See Connolly N. Am.*, 802 F.3d at 819. Moreover, permitting chapter 7 creditors to receive an administrative expense best serves the public interest since it encourages creditors to alert the trustee to the existence of assets that may benefit the estate, "especially when the record clearly indicates the Trustee has completed his administration and abandoned any further efforts to administer the bankruptcy estate." *In re Integrity Supply, Inc.*, 417 B.R. 514, 522 (Bankr. S.D. Ohio 2009). A contrary holding would deter creditors from spending resources that would ultimately help grow the estate to the benefit of all creditors.

Consequently, to encourage creditor participation in chapter 7 proceedings, this Court should allow chapter 7 creditors to receive an administrative expense in making a substantial contribution to the estate. Administrative expenses are strictly construed, and bankruptcy courts can adhere to that principle by allowing permitting an administrative expense only when the chapter 7 creditor makes a substantial contribution to the estate. *See, e.g.*, *Connolly N. Am.*, 802 F.3d at 819. Therefore, creditors, such as Respondent, can be properly compensated for making a substantial contribution to the estate that ultimately helps the trustee and all creditors involved in the chapter 7 proceeding. Because the statutory text and principles of statutory interpretation

mandate a non-limiting interpretation of § 503(b), this Court should encourage creditor participation by permitting a creditor to receive an administrative expense in making a substantial contribution during a chapter 7 proceeding.

CONCLUSION

In conclusion, application of this Court's interpretation precedent, pertaining to the Bankruptcy Code, enables this case to be decided upon the plain language of the statutory text. Under the first issue, the minority's approach satisfies the plain meaning and purpose of § 362(a)(3). This interpretation protects each party's rights in the property and affords due process, as the courts are left to determine adequate protection, instead of relying on the subjective determinations of the parties. Moreover, the minority approach maintains the status qou, which separates a creditor who lawfully repossesses property prepetition from a creditor who dismembers the estate by seizing property post-petition.

Under the second issue, the plain language of § 503(b) mandates a non-limiting interpretation that permits chapter 7 creditors to receive an administrative expense in making a substantial contribution to the estate. This interpretation ensures each word of the statute is given meaning, and the word "including" in the preface of § 503(b) indicates courts should not restrict administrative expenses to the nine enumerated examples. Furthermore, this interpretation encourages creditor participation in chapter 7 cases and prevents a windfall to the bankruptcy estate when a chapter 7 creditor makes a substantial contribution. Therefore, for the reasons stated in brief, Respondent respectfully requests this Court to affirm the decisions below.

Team R. 38
Counsel of Record

APPENDIX A

11 U.S.C. 102 (2018).

Rules of Construction

In this title—

(1) [omitted]

(2) [omitted]

(3) “includes” and “including” are not limiting;

(4) [omitted]

(3) [omitted]

(4) [omitted]

(5) [omitted]

(6) [omitted]

(7) [omitted]

(8) [omitted]

(9) [omitted]

APPENDIX B

11 U.S.C. 326 (2018).

(a) In a case under chapter 7 or 11, the court may allow reasonable compensation under section 330 of this title of the trustee for the trustee's services, payable after the trustee renders such services, not to exceed 25 percent on the first $5,000 or less, 10 percent on any amount in excess of $5,000 but not in excess of $50,000, 5 percent on any amount in excess of $50,000 but not in excess of $1,000,000, and reasonable compensation not to exceed 3 percent of such moneys in excess of $1,000,000, upon all moneys disbursed or turned over in the case by the trustee to parties in interest, excluding the debtor, but including holders of secured claims.

(b) [omitted]

(c) [omitted]

(d) [omitted]

APPENDIX C

11 U.S.C. § 362 (2018).

Automatic Stay

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of—

(1)–(2) [omitted]

(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

(4)–(8) [omitted]

(b) [omitted]

(c) [omitted]

(d) [omitted]

(e) [omitted]

(f) [omitted]

(g) [omitted]

(h) [omitted]

(i) [omitted]

(j) [omitted]

(k) [omitted]

(1) [omitted]

(l) [omitted]

(m) [omitted]

(n) [omitted]

(o) [omitted]

Appendix D

11 U.S.C. § 363 (2018).

Use, Sale, or Lease of Property

(a) In this section, "cash collateral" means cash, negotiable instruments, documents of title, securities, deposit accounts, or other cash equivalents whenever acquired in which the estate and an entity other than the estate have an interest and includes the proceeds, products, offspring, rents, or profits of property and the fees, charges, accounts or other payments for the use or occupancy of rooms and other public facilities in hotels, motels, or other lodging properties subject to a security interest as provided in section 552(b) of this title, whether existing before or after the commencement of a case under this title.

(b)

(1) The trustee, after notice and a hearing, may use, sell, or lease, other than in the ordinary course of business, property of the estate, except that if the debtor in connection with offering a product or a service discloses to an individual a policy prohibiting the transfer of personally identifiable information about individuals to persons that are not affiliated with the debtor and if such policy is in effect on the date of the commencement of the case, then the trustee may not sell or lease personally identifiable information to any person unless—

(A) such sale or such lease is consistent with such policy; or

(B) after appointment of a consumer privacy ombudsman in accordance with section 332, and after notice and a hearing, the court approves such sale or such lease—

(i) giving due consideration to the facts, circumstances, and conditions of such sale or such lease; and

(ii) finding that no showing was made that such sale or such lease would violate applicable nonbankruptcy law.

(2) If notification is required under subsection (a) of section 7A of the Clayton Act in the case of a transaction under this subsection, then—

(A) notwithstanding subsection (a) of such section, the notification required by such subsection to be given by the debtor shall be given by the trustee; and

(B) notwithstanding subsection (b) of such section, the required waiting period shall end on the 15th day after the date of the receipt, by the Federal Trade Commission and the Assistant Attorney General in charge of the Antitrust Division of the Department of Justice, of the notification required under such subsection (a), unless such waiting period is extended—

(i) pursuant to subsection (e)(2) of such section, in the same manner as such subsection (e)(2) applies to a cash tender offer;

(ii) pursuant to subsection (g)(2) of such section; or

(iii) by the court after notice and a hearing.

(c) [omitted]

(d) [omitted]

(e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This

subsection also applies to property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362).

(f) [omitted]

(g) [omitted]

(h) [omitted]

(i) [omitted]

(j) [omitted]

(k) [omitted]

(l) [omitted]

(m) [omitted]

(n) [omitted]

(o) [omitted]

(p) In any hearing under this section—

(1) the trustee has the burden of proof on the issue of adequate protection; and

(2) the entity asserting an interest in property has the burden of proof on the issue of the validity, priority, or extent of such interest.

Appendix E

11 U.S.C. § 503 (2018).

Allowance of Administrative Expenses

(a) An entity may timely file a request for payment of an administrative expense, or may tardily file such request if permitted by the court for cause.

(b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including—

(1)

(A) the actual, necessary costs and expenses of preserving the estate including—

(i) wages, salaries, and commissions for services rendered after the commencement of the case; and

(ii) wages and benefits awarded pursuant to a judicial proceeding or a proceeding of the National Labor Relations Board as back pay attributable to any period of time occurring after commencement of the case under this title, as a result of a violation of Federal or State law by the debtor, without regard to the time of the occurrence of unlawful conduct on which such award is based or to whether any services were rendered, if the court determines that payment of wages and benefits by reason of the operation of this clause will not substantially increase the probability of layoff or termination of current employees, or of nonpayment of domestic support obligations, during the case under this title;

(B) any tax—

(i) incurred by the estate, whether secured or unsecured, including property taxes for which liability is in rem, in personam, or both, except a tax of a kind specified in section 507(a)(8) of this title; or

(ii) attributable to an excessive allowance of a tentative carryback adjustment that the estate received, whether the taxable year to which such adjustment relates ended before or after the commencement of the case;

(C) any fine, penalty, or reduction in credit relating to a tax of a kind specified in subparagraph (B) of this paragraph; and

(D) notwithstanding the requirements of subsection (a), a governmental unit shall not be required to file a request for the payment of an expense described in subparagraph (B) or (C), as a condition of its being an allowed administrative expense;

(2) compensation and reimbursement awarded under section 330(a) of this title;

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by—

(A) a creditor that files a petition under section 303 of this title;

(B) a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor;

(C) a creditor in connection with the prosecution of a criminal offense relating to the case or to the business or property of the debtor;

(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed

under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

(E) a custodian superseded under section 543 of this title, and compensation for the services of such custodian; or

(F) a member of a committee appointed under section 1102 of this title, if such expenses are incurred in the performance of the duties of such committee;

(4) reasonable compensation for professional services rendered by an attorney or an accountant of an entity whose expense is allowable under subparagraph (A), (B), (C), (D), or (E) of paragraph (3) of this subsection, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title, and reimbursement for actual, necessary expenses incurred by such attorney or accountant;

(5) reasonable compensation for services rendered by an indenture trustee in making a substantial contribution in a case under chapter 9 or 11 of this title, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title;

(6) the fees and mileage payable under chapter 119 of title 28;

(7) with respect to a nonresidential real property lease previously assumed under section 365, and subsequently rejected, a sum equal to all monetary obligations due, excluding those arising from or relating to a failure to operate or a penalty provision, for the period of 2 years following the later of the rejection date or the date of actual turnover of the premises, without reduction or setoff for any reason whatsoever except for sums actually received or to be received from an entity other than the debtor, and the claim for

remaining sums due for the balance of the term of the lease shall be a claim under section 502(b)(6);

(8) the actual, necessary costs and expenses of closing a health care business incurred by a trustee or by a Federal agency (as defined in section 551(1) of title 5) or a department or agency of a State or political subdivision thereof, including any cost or expense incurred—

(A) in disposing of patient records in accordance with section 351; or

(B) in connection with transferring patients from the health care business that is in the process of being closed to another health care business; and

(9) the value of any goods received by the debtor within 20 days before the date of commencement of a case under this title in which the goods have been sold to the debtor in the ordinary course of such debtor's business.

(c) Notwithstanding subsection (b), there shall neither be allowed, nor paid—

(1) a transfer made to, or an obligation incurred for the benefit of, an insider of the debtor for the purpose of inducing such person to remain with the debtor's business, absent a finding by the court based on evidence in the record that—

(A) the transfer or obligation is essential to retention of the person because the individual has a bona fide job offer from another business at the same or greater rate of compensation;

(B) the services provided by the person are essential to the survival of the business; and

(C) either—

(i) the amount of the transfer made to, or obligation incurred for the benefit of, the person is not greater than an amount equal to 10 times the amount of the mean transfer or obligation of a similar kind given to nonmanagement employees for any purpose during the calendar year in which the transfer is made or the obligation is incurred; or

(ii) if no such similar transfers were made to, or obligations were incurred for the benefit of, such nonmanagement employees during such calendar year, the amount of the transfer or obligation is not greater than an amount equal to 25 percent of the amount of any similar transfer or obligation made to or incurred for the benefit of such insider for any purpose during the calendar year before the year in which such transfer is made or obligation is incurred;

(2) a severance payment to an insider of the debtor, unless—

(A) the payment is part of a program that is generally applicable to all full-time employees; and

(B) the amount of the payment is not greater than 10 times the amount of the mean severance pay given to nonmanagement employees during the calendar year in which the payment is made; or

(3) other transfers or obligations that are outside the ordinary course of business and not justified by the facts and circumstances of the case, including transfers made to, or obligations incurred for the benefit of, officers, managers, or consultants hired after the date of the filing of the petition.

Appendix F

11 U.S.C. § 541 (2018).

Property of the Estate

(a) The commencement of a case under section 301, 302, or 303 of this title creates an estate. Such estate is comprised of all the following property, wherever located and by whomever held:

(1) Except as provided in subsections (b) and (c)(2) of this section, all legal or equitable interests of the debtor in property as of the commencement of the case.

(2) All interests of the debtor and the debtor's spouse in community property as of the commencement of the case that is—

(A) under the sole, equal, or joint management and control of the debtor; or

(B) liable for an allowable claim against the debtor, or for both an allowable claim against the debtor and an allowable claim against the debtor's spouse, to the extent that such interest is so liable.

(3) Any interest in property that the trustee recovers under section 329(b), 363(n), 543, 550, 553, or 723 of this title.

(4) Any interest in property preserved for the benefit of or ordered transferred to the estate under section 510(c) or 551 of this title.

(5) Any interest in property that would have been property of the estate if such interest had been an interest of the debtor on the date of the filing of the petition, and that the debtor acquires or becomes entitled to acquire within 180 days after such date—

(A) by bequest, devise, or inheritance;

(B) as a result of a property settlement agreement with the debtor's spouse, or of an interlocutory or final divorce decree; or

(C) as a beneficiary of a life insurance policy or of a death benefit plan.

(6) Proceeds, product, offspring, rents, or profits of or from property of the estate, except such as are earnings from services performed by an individual debtor after the commencement of the case.

(7) Any interest in property that the estate acquires after the commencement of the case.

(b) [omitted]

(c) [omitted]

(d) [omitted]

(e) [omitted]

(f) [omitted]

Appendix G

11 U.S.C. § 542 (2018).

Turnover of the Property of the Estate

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

(b) Except as provided in subsection (c) or (d) of this section, an entity that owes a debt that is property of the estate and that is matured, payable on demand, or payable on order, shall pay such debt to, or on the order of, the trustee, except to the extent that such debt may be offset under section 553 of this title against a claim against the debtor.

(c) [omitted]

(d) [omitted]

(e) [omitted]

Appendix H

11 U.S.C. § 704 (2018).

(a) The trustee shall—

(1) collect and reduce to money the property of the estate for which such trustee serves, and close such estate as expeditiously as is compatible with the best interests of parties in interest;

(2) be accountable for all property received;

(3) ensure that the debtor shall perform his intention as specified in section 521(a)(2)(B) of this title;

(4) investigate the financial affairs of the debtor;

(5) if a purpose would be served, examine proofs of claims and object to the allowance of any claim that is improper;

(6) if advisable, oppose the discharge of the debtor;

(7) unless the court orders otherwise, furnish such information concerning the estate and the estate's administration as is requested by a party in interest;

(8) if the business of the debtor is authorized to be operated, file with the court, with the United States trustee, and with any governmental unit charged with responsibility for collection or determination of any tax arising out of such operation, periodic reports and summaries of the operation of such business, including a statement of receipts and disbursements, and such other information as the United States trustee or the court requires;

(9) make a final report and file a final account of the administration of the estate with the court and with the United States trustee;

(10) if with respect to the debtor there is a claim for a domestic support obligation, provide the applicable notice specified in subsection (c);

(11) if, at the time of the commencement of the case, the debtor (or any entity designated by the debtor) served as the administrator (as defined in section 3 of the Employee Retirement Income SecurityAct of 1974) of an employee benefit plan, continue to perform the obligations required of the administrator; and

(12) use all reasonable and best efforts to transfer patients from a health care business that is in the process of being closed to an appropriate health care business that—

(A) is in the vicinity of the health care business that is closing;

(B) provides the patient with services that are substantially similar to those provided by the health care business that is in the process of being closed; and

(C) maintains a reasonable quality of care.

(b) [omitted]

(c) [omitted]

Appendix I

11 U.S.C. § 707 (2018).

Dismissal of a case or conversion to a case under chapter 11 or 13

(a) The court may dismiss a case under this chapter only after notice and a hearing and only for cause, including—

(1) unreasonable delay by the debtor that is prejudicial to creditors;

(2) nonpayment of any fees or charges required under chapter 123 of title 28; and

(3) failure of the debtor in a voluntary case to file, within fifteen days or such additional time as the court may allow after the filing of the petition commencing such case, the information required by paragraph (1) of section 521(a), but only on a motion by the United States trustee.

(b) [omitted]

(c) [omitted]

Appendix J

11 U.S.C. § 1129 (2018).

(a) [omitted]

(b)

(1) [omitted]

(2) For the purpose of this subsection, the condition that a plan be fair and equitable with respect to a class includes the following requirements:

(A) With respect to a class of secured claims, the plan provides—

(i)

(I) that the holders of such claims retain the liens securing such claims, whether the property subject to such liens is retained by the debtor or transferred to another entity, to the extent of the allowed amount of such claims; and

(II) that each holder of a claim of such class receive on account of such claim deferred cash payments totaling at least the allowed amount of such claim, of a value, as of the effective date of the plan, of at least the value of such holder's interest in the estate's interest in such property;

(ii) for the sale, subject to section 363(k) of this title, of any property that is subject to the liens securing such claims, free and clear of such liens, with such liens to attach to the proceeds of such sale, and the treatment of such liens on proceeds under clause (i) or (iii) of this subparagraph; or

(iii) for the realization by such holders of the indubitable equivalent of such claims.

(B) [omitted]

(C) [omitted]

(c) [omitted]

(d) [omitted]

(e) [omitted]

Appendix K

11 U.S.C. § 1307 (2018).

Conversion or Dismissal

(a) [omitted]

(b) [omitted]

(c) Except as provided in subsection (f) of this section, on request of a party in interest or the United States trustee and after notice and a hearing, the court may convert a case under this chapter to a case under chapter 7 of this title, or may dismiss a case under this chapter, whichever is in the best interests of creditors and the estate, for cause, including—

(1) unreasonable delay by the debtor that is prejudicial to creditors;

(2) nonpayment of any fees and charges required under chapter 123 of title 28;

(3) failure to file a plan timely under section 1321 of this title;

(4) failure to commence making timely payments under section 1326 of this title;

(5) denial of confirmation of a plan under section 1325 of this title and denial of a request made for additional time for filing another plan or a modification of a plan;

(6) material default by the debtor with respect to a term of a confirmed plan;

(7) revocation of the order of confirmation under section 1330 of this title, and denial of confirmation of a modified plan under section 1329 of this title;

(8) termination of a confirmed plan by reason of the occurrence of a condition specified in the plan other than completion of payments under the plan;

(9) only on request of the United States trustee, failure of the debtor to file, within fifteen days, or such additional time as the court may allow, after the filing of the petition commencing such case, the information required by paragraph (1) of section 521(a);

(10) only on request of the United States trustee, failure to timely file the information required by paragraph (2) of section 521(a); or

(11) failure of the debtor to pay any domestic support obligation that first becomes payable after the date of the filing of the petition.

(d) [omitted]

(e) [omitted]

(f) [omitted]

(g) [omitted]

Appendix L

42 U.S.C. § 12113 (2018).

(a) [omitted]

(b) Qualification standards

The term "qualification standards" may include a requirement that an individual shall not pose a direct threat to the health or safety of other individuals in the workplace.

(c) [omitted]

(d) [omitted]

(e) [omitted]